DIRECT TAX VS INDIRECT TAX

who really pays the tax?

Direct and Indirect Taxation

IN SIMPLE WORDS *Direct tax is paid by the person who earns. Indirect tax is collected from the buyer and passed to the government.*

1 DIRECT TAX

A tax where the impact and incidence fall on the same person. The taxpayer cannot shift the burden to anyone else.

Example: income tax

2 INDIRECT TAX

A tax where the burden is shifted to another person, usually the final consumer. The seller only collects and deposits it.

Example: GST, customs duty

1. Direct tax is levied on income of a person; indirect tax on supply, sale or import of goods and services.
2. In direct tax, the person taxed bears it. In indirect tax, the person who pays to Government need not bear it.
3. Indirect tax is built into the price of the goods or services.
4. Direct tax links to the person's ability to pay; indirect tax links to the act of consumption.



Swipe for the summary →

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THE 4-POINT COMPARISON

learn the table, win the MCQ

Direct Tax vs Indirect Tax

BASIS	DIRECT TAX	INDIRECT TAX
Burden	Borne by the taxpayer	Shifted to final consumer
Levied on	Income of a person	Supply, sale or import
Examples	Income tax	GST, customs duty
Nature	Can be slab-based, rises with income	Same tax for rich and poor buyer

SHIFTABLE BURDEN = INDIRECT! The test is whether the burden can be passed on, not who deposits the tax with the Government.

Swipe for a memory trick →

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STUDY TRICK

Direct Tax vs Indirect Tax

Direct = Do it yourself

DIRECT: ME. INDIRECT: PASS ON

Direct tax stays with me, the earner. Indirect tax is passed on like a parcel, from seller to the final buyer.

HOW TO ATTEMPT IT

1 Read what is being taxed → 2 Ask: can the burden be passed on? → 3 No: direct. Yes: indirect → 4 Match with the example given

EXAM TIP

When the question says tax is collected from the buyer and deposited by the seller, the answer is indirect tax.

DOUBT BUSTER

Seller deposits GST. Why is it not a direct tax? The seller only collects it from the buyer and deposits it. The burden is passed to the consumer, so it is indirect.

Swipe for common mistakes →

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COMMON MISTAKES

Direct Tax vs Indirect Tax

don't mix the two up

✗ Tax paid directly to Government is a direct tax

✓ Direct or indirect depends on whether the burden can be shifted, not on who deposits it.

✗ Customs duty is a direct tax as the importer pays it

✓ Customs duty is indirect; the importer recovers it through the price charged to the buyer.

✗ Direct tax is levied on goods and services

✓ Direct tax is levied on income. Indirect tax is levied on supply, sale or import of goods and services.

Save this for revision!

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